UCHUMI

Home Of Value

CONDENSED STATEMENT OF COMPREHENSIVE INCOME FOR THE SIX MONTHS ENDED 31ST DECEMBER 2016

	Unaudited	Unaudited	Audited
	Six Month to 31st Dec 2016	Six Month to 31st Dec 2015	30th June 2016
	KShs'000	KShs'000	KShs'000
Net Sales	1,398,354	4,261,303	6,427,143
Cost Of sales	(1,162,197)	(3,359,750)	(5,450,199)
Gross Profit	236,157	901,553	976,944
Other Income	107,775	144,661	334,526
Profit On Disposal of Assets	342,427		
	686,359	**1,046,214**	**1,311,470**
Operating Expenses	(1,111,902)	(2,010,976)	(3,291,832)
Profit from operating activities	**(425,543)**	**(964,762)**	**(1,980,362)**
Change in Fair Value of Investment	-		100,000
Provisions & Writeoffs			(466,782)
Profit on Loss of Control of Subsidiary			86,766
Finance Costs	(121,767)	(52,999)	(411,119)
Profit/(Loss) Before Taxation	**(547,310)**	**(1,017,761)**	**(2,671,497)**
Taxation	-		(165,235)
(LOSS)/PROFIT FOR THE YEAR	**(547,310)**	**(1,017,761)**	**(2,836,732)**
Earning Per Share			
Basic and diluted - KShs.	(1.5)	(2.8)	(7.8)
Number of Shares Outstanding	**364,962**	**364,962**	**364,962**

CONDENSED STATEMENT OF FINANCIAL POSITION AS AT 31ST DECEMBER 2016

ASSETS			
NON-CURRENT ASSETS			
NON-CURRENT ASSETS	3,211,918	4,973,616	3,338,177.32
CURRENT ASSETS	590,872	1,187,865	1,664,039.32
TOTAL ASSETS	3,802,790	6,161,481	5,002,216.65
EQUITY AND LIABILITIES			-
EQUITY & RESERVES			-
Share capital	1,824,808	1,824,808	1,824,807.97
Reserves	(4,469,445)	(2,006,642)	(3,922,185.00)
	(2,644,637)	(181,834)	(2,097,377.03)
LIABILITIES			-
Deferred tax	115,750		115,750.00
Obligation under Finance Leases	628,255	323,252	798,865.00
NON CURRENT LIABILITIES	744,005	323,252	914,615.00
CURRENT LIABILITIES	5,703,422	6,020,063	6,184,978.23
TOTAL EQUITY AND LIABILITIES	3,802,790	6,161,481	5,002,216.20

FINANCIAL COMMENTARY:

The Company's performance reflects a loss of Kshs 547 million as at 31st December 2016. This loss is an improvement compared to the same period in 2015 by 46% despite the drop in sales. The sales were significantly impacted by lack of optimal stock levels due to delays in funding.

Over the past few months the management has focused on management of costs. This has resulted in a reduction in operating expenses by 45% compared to the same period in 2015. The management anticipates recovery and growth in sales from continued supplier's support, optimal stocking and realization of funding. The current cost management efforts and expected growth have provided optimism of growth trajectory for the business to break even in the next financial year and return to profitability.

The Board and Management continue to pursue strategies aimed at stabilizing the Company's performance including the sale of non-core assets, sourcing for a strategic investor, building supplier confidence and enriching customer experience at our stores.

The Directors do not recommend the payment of an interim dividend for the half year to 31 December 2017.

By Order of the Board
Dr C Ngahu
Chair

Dr J Kipngetich
Chief Executive Officer

27 February 2017